



Leeds School of Business
UNIVERSITY OF COLORADO **BOULDER**

FINANCE 4070: Financial Markets & Institutions

A course offering of the Leeds School's

**HERNANDO DE SOTO
CAPITAL MARKETS PROGRAM**

Spring 2024

Tu/Th 11:00-12:15 Koelbel 312

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Office Hours: Tuesday 2:00 – 3:00 PM
Wednesday 11:00 AM – 12:00 PM
and by appointment

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Course Overview:

Financial Markets & Institutions emphasizes nine topics:

Module 1: Intro & Key Definitions

Module 2: Money

Module 3: Banking

Module 4: Capital Markets

Module 5: Central Banking & Monetary Policy

Module 6: Government Debt

Module 7: Non-depository Financial Intermediaries

Module 8: Mortgages & Securitized Assets

Module 9: Digital Currencies

Nearly every topic spans three course sessions, with the first lecture presenting core concepts, the second lecture presenting historical antecedents, and the third day being a student-participation-driven discussion of current topics.

Required Readings and Course Materials:

Fabozzi, F., and F. Jones. *Foundations of Financial Markets and Institutions*. 5th Edition. (2019)

In addition to the preceding textbook from which core concepts lectures and quizzes are drawn, all other required readings are accessible on CANVAS, separated by module and day, as well as hyperlinked in the syllabus below.

Proctorio - Exam proctoring software.

Course Requirements and Grading:

16%	Quizzes (Readings Recall and Comprehension)
17%	Midterm Exam 1 (Multiple Choice, T/F and Short Answer)
17%	Midterm Exam 2 (Multiple Choice, T/F and Short Answer)
30%	Final Exam
20%	Individual Participation and Attendance
100 %	Total

Quizzes (16%): By the beginning of the core concepts classes, students will be asked to recall pieces of the required readings for a grade prior to discussing them. Each of the eight non-introductory modules will have one such quiz.

Midterm Exams (17% respectively): There are two midterm exam dates for this course. Each midterm represents 17% of the final course grade. Do not make travel plans that conflict with any exam dates. Notify anyone purchasing travel on your behalf of your need to be in Boulder on these dates.

Final Exam (30%): The final exam represents 30% of your final grade and will take place at the University's posted final exam time. Do not make travel plans that conflict with any exam dates. Notify anyone purchasing travel on your behalf of your need to be in Boulder on these dates.

Individual Participation and Attendance (20%): This class is oriented towards providing an introduction to a variety of challenging topics through class discussion and critical synthesis across scholars. Absent active attendance and participation, the range of complex ideas addressed throughout the course will be much more difficult to assimilate. Your individual participation is assessed based on responses to cold-calls, participation in class discussions, attendance, submission of questions/comments for the historical antecedents lectures 24 hours in advance, and an individual twelve minute presentation for day 3 for one of the last seven modules in the course. Your participation grade will be based upon attendance (taken frequently but randomly) (42%); submission of historical antecedents questions (28%); and your individual presentation on a current topic (30%). I reserve the right to curve this grade component up or down slightly for students who are exceptionally participatory or non-participatory.

Tentative Course Outline

#	Date	Course Module	Module Class	Readings
1	01/16	Intro	Course Intro	No readings.
2	01/18	Key Definitions	Key definitions	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i> . 5th Edition. (2019), pp. 1-20; 23-30; 40-42.
3	01/23	Money	Core Concepts	Hubbard, R., and A. O'Brien. <i>Money, Banking, and the Financial System</i> . Pearson: (2012), pp 25-38. Quiz due 10:30 am (quiz covers readings for classes 2 AND 3).
4	01/25	Money	Historical Antecedents	Desjardins, J. " Here's how much US currency there is in circulation ." <i>Business Insider</i> . Apr. 18, 2018. Elwell, C. " Brief history of the gold standard in the United States ." Congressional Research Service, 2011. Rosenberg, S. "The Dollar: No Longer as Good as Gold," in <i>American Economic Development since 1945</i> . Palgrave MacMillan, 2003. Telford, T. and J. Whalen. " There are more \$100 bills in circulation than \$1 bills, and it makes no cents ." <i>Washington Post</i> . Mar. 4, 2019. Presentation Sign-up Due.
5	01/30	Money	Current Topics	Agence France Presse. " Sweden Studies How to Save Cash from Extinction ." Barrons. January 12, 2024. Keram, A. " China wants to take the entire country cashless — and surveil its citizens even more closely ." <i>Washington Post</i> . Mar. 2, 2021. Olson, C. " L.A. might ban cashless businesses. Here's what's at stake ." LATimes.com. Aug. 22, 2023. Orcutt, M. " What's next for China's digital currency? " MIT Technology Review. Aug. 3, 2023. Paul, P. " The Cost of Going Cashless ." NYTimes.com. Nov. 13, 2022. Whalen, J.R. " Want to Score a Discount at the Store? Pay With Cash ." WSJ.com. Oct. 18, 2023. OPTIONAL: Scott, B. " Going Cashless ." Aeon. Nov. 23, 2023.

6	02/01	Banking	Core Concepts	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i> . 5th Edition. (2019), pp. 99-122. Quiz due 10:30 am.
7	02/06	Banking (Recording on Canvas)	Historical Antecedents	Calomiris, C. and S. Haber. " Crippled by Populism: U.S. Banking from Colonial Times to 1990. " in <i>Fragile by Design: The Political Origins of Banking Crises & Scarce Credit</i> . Princeton University Press: 2014, pp. 175-202. Henderson, M.T., and J. Spindler. " Taking systemic risk seriously in financial regulation. " <i>Ind. LJ</i> 92 (2016): 1559-1582.
8	02/08	NO CLASS	NO CLASS	CATCH UP ON READINGS!!
9	02/13	Banking	Current Topics	Flitter, E. " Frustrated With New Rules, Bank Lobbyists Are Making Their Fight Public. " NYTimes.com. Nov. 2, 2023. Fromer, K. " The U.S. economy could face 'a perfect storm' if Basel III Endgame goes into effect. Here's why. " Fortune.com. Dec. 6, 2023. Wessel, D. " What is bank capital? What is the Basel III Endgame? " Brookings.edu. Nov. 29, 2023. Flitter, E., J. Smialek, and A. Rappeport. " Key Takeaways From Regulatory Review of Bank Failures. " NYTimes.com. Apr. 28, 2023. Horsley, S. " The Fed admits some of the blame for Silicon Valley Bank's failure in scathing report. " NPR.org. Apr. 28, 2023. Neely, C.J., and M.C. Neely. " Interest Rate Risk, Bank Runs and Silicon Valley Bank. " FRB of St. Louis. May 11, 2023. " Silicon Valley Bank and Signature Bank Failures. " Congressional Research Service. Mar. 21, 2023.
9	02/15	MIDTERM	MIDTERM	Exam covers the first three modules of content.
10	02/20	Capital Markets	Core Concepts	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i> . 5th Edition. (2019), pp. 413-431; 435-450. Quiz due 10:30 am.
11	02/22	Capital Markets	Historical Antecedents	Astarita, M. " Federal Securities Law, a Securities Lawyer Guide. " SEC Law, 2019. Beattie, A. " The Birth of Stock Exchanges. " Investopedia. May 19, 2019. Romer, C. " The great crash and the onset of the great depression. " <i>The Quarterly Journal of Economics</i> 105, no. 3 (1990): 597-624.

12	02/27	Capital Markets	Current Topics	Chen, J. "Exchange-Traded Fund (ETF) Explanation With Pros and Cons." Investopedia. Jan. 4, 2024. Dore, K. "Many mutual funds are converting to exchange-traded funds. Here's what investors need to know." CNBC.com. Dec. 15, 2023. iShares. "What is an Exchange-Traded Fund (ETF)?" BlackRock. Robertson, H. "Bond ETFs draw in record \$300 billion in 2023 – BlackRock." Reuters. Jan. 3, 2024. Crenshaw, C.A. "Statement Dissenting from Approval of Proposed Rule Changes to List and Trade Spot Bitcoin Exchange-Traded Products." SEC.gov. Jan. 10, 2024. Section II only. Gensler, G. "Statement on the Approval of Spot Bitcoin Exchange-Traded Products." SEC.gov. Jan. 10, 2024. Palma, S. "SEC's bitcoin ETF sign-off comes with a stark reminder of its lingering doubts." FT.com. Jan. 11, 2024. Peirce, H. "Out, Damned Spot! Out, I Say![1]: Statement on Omnibus Approval Order for List and Trade Bitcoin-Based Commodity-Based Trust Shares and Trust Units." SEC.gov. Jan. 10, 2024. Scaggs, A. "Talk to your kids about their spot bitcoin ETF use." FT.com. Jan. 11, 2024.
13	02/29	Central Banking & Monetary Policy	Core Concepts	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i>. 5th Edition. (2019), pp. 127-150. Quiz due 10:30 am.
14	03/05	Central Banking & Monetary Policy	Historical Antecedents	Bernstein, A., E. Hughson, and M. Weidenmier. "Identifying the effects of a lender of last resort on financial markets: Lessons from the founding of the fed." <i>Journal of Financial Economics</i> 98, no. 1 (2010): 40-42; 51. Horwitz, S. "Competitive currencies, legal restrictions, and the origins of the Fed: some evidence from the panic of 1907." <i>Southern Economic Journal</i> (1990): 639-649. Tallman, E., and J. Moen. "Lessons from the Panic of 1907." <i>Economic Review</i> 75 (1990): 2-13.
15	03/07	Central Banking & Monetary Policy	Current Topics	Fernandez, B. "Pro Take: Fed Losses, or 'Deferred Assets,' Rise, Along With Potential for Political Backlash." WSJ.com. Jan. 5, 2024.

				Hughes, J. “Jump in US overnight lending rates awakens fears of money market strains.” FT.com. Dec. 20, 2023. Jordà, Ò., S.R. Singh, and A.M. Taylor. “Does Monetary Policy Have Long-Run Effects?” FRBSF Economic Letters. Sep. 5, 2023. Frenkel, J., R. Rajan, and A. Weber. “The World Needs a Humble Approach to Central Banking.” Project Syndicate. Dec. 8, 2023. Sumner, S. “Newcomb's Paradox and the Banality of Success.” EconLib. Jan. 3, 2024. Ubide, Á. “The dilemmas of monetary policy.” El País.
16	03/12	Government Debt (Fiscal AND Monetary Policy)	Core Concepts	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i>. 5th Edition. (2019), pp. 469-486; 491-508 (SKIM 501-503). Quiz due 10:30 am.
17	03/14	Government Debt (Fiscal AND Monetary Policy)	Historical Antecedents	Bertaut, C., B. von Beschwitz, and S. Curcuru. ““The International Role of the U.S. Dollar” Post-COVID Edition.” FEDS Notes. June 23, 2023. Blustein, P. “Dollar primacy and the web of global responsibilities.” FT.com. July 31, 2023. Bordo, M., and A. Schwartz. “Monetary policy regimes and economic performance: the historical record.” <i>Handbook of macroeconomics</i> 1 (1999): 168-188.
18	03/19	Government Debt (Fiscal AND Monetary Policy)	Current Topics	Bachman, D. “US government debt: A US\$33 trillion problem?” Deloitte.com. Oct. 2023. Coy, P. “We Still Need to Talk About Government Debt.” NYTimes.com. Jan. 8, 2024. Masters, B. “Stephanie Kelton: ‘Inflation has come down in spite of the Fed, not because of it’.” FT.com. Jan. 10, 2024. McBride, J., N. Berman and A. Sipipurapu. “The U.S. National Debt Dilemma.” CFR.org. Dec. 4, 2023. McDougall, M. “Investors warn governments about high levels of public debt.” FT.com. Jan. 8, 2024. Sindreu, J. “The Big Problem With Government Debt Isn’t What You Think.” WSJ.com. Nov. 6, 2023. “What is the national debt?” U.S. Dept. of the Treasury.
19	03/21	MIDTERM	MIDTERM	Exam covers content from modules 4-6

20	04/02	Non-depository Financial Intermediaries	Core Concepts (Insurance)	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i> . 5th Edition. (2019), pp. 153-182.
21	04/04	Non-depository Financial Intermediaries	Core Concepts (Investment Banking)	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i> . 5th Edition. (2019), pp. 185-204. Quiz due 10:30 am (covers 04/02 AND 04/04).
22	04/09	Non-depository Financial Intermediaries	Historical Antecedents	Farber, H. " The Political Economy of Marine Insurance and the Making of the United States ." <i>William & Mary Quarterly</i> . Vol. 77, No. 4, Oct. 2020. 583-586; 591-600. Rosenfeld, H. " Auto Insurance: Crisis and Reform ." <i>University of Memphis Law Review</i> . 1998. 70-80; 94-101.
23	04/11	Non-depository Financial Intermediaries	Current Topics	Asness, C.S. " The GameStop Meme Stock Craze Hits the Cinema ." WSJ.com. Oct. 2, 2023. Fox, M. " AMC Entertainment has plunged 99% from its meme-stock peak to all-time lows ." Business Insider. Jan. 11, 2024. Lamont, O.A. and R.H. Thaler. " ‘Dumb Money’ Exposes the Baffling Allure of Bad Investment Advice ." NYTimes.com. Oct. 1, 2023. " Lessons to learn from the GameStop episode ." FCA.org.uk. Siegel Bernard, T., E. Flitter, and A. Das. " Buy GameStop, Fight Injustice. Just Don’t Sell ." NYTimes.com. Jan. 29, 2022. Foust, J. " Space insurers take cautious approach to satellite servicing ." SpaceNews.com. Oct. 15, 2023. Harrington, A. " Insurance as Governance for Outer Space Activities ." <i>Astropolitics</i> 18.2 (2020): "Table 1" & "Conclusion". Hollinger, P. " Space needs a sustainable insurance industry ." FT.com. Sept. 26, 2023. Rainbow, J. " Double whammy for space insurance ." SpaceNews.com. Oct. 6, 2023. Riggs, M. " As Private Space Travel Grows, so Will the Insurance Market ." Reason.com. Nov. 15, 2022.
24	04/16	Mortgages & Securitized Assets	Core Concepts	Fabozzi, F., and F. Jones. <i>Foundations of Financial Markets and Institutions</i> . 5th Edition. (2019), pp. 731-738; 788-790 ("The Subprime Mortgage Crisis and Securitization"); 1007-1026 Quiz due 10:30 am.

25	04/18	Mortgages & Securitized Assets	Historical Antecedents	Calomiris, C. and S. Haber. " The Game of Bank Bargains " in <i>Fragile by Design: The Political Origins of Banking Crises & Scarce Credit</i> . Princeton University Press: 2014. OPTIONAL: Alston, L. " Farm foreclosure moratorium legislation: A lesson from the past. " <i>The American Economic Review</i> 74, no. 3 (1984): 445-457.
26	04/23	Mortgages & Securitized Assets	Current Topics	Bubb, R. and A. Kaufman. " Did Securitization Cause the Mortgage Crisis? " Harvard Law School Forum on Corporate Governance, 2011. Frame, W. " Conflicts of Interest in Securitization and the U.S. Housing Crisis. " Federal Reserve Bank of Atlanta, 2017. Hughes, J. " Mortgage-backed securities market waits for interest rate clouds to lift. " FT.com. Nov. 5, 2023. McArthur, C., and S. Edelman. " The 2008 Crisis. " Center for American Progress, 2017. Uhlig, H. " Mortgage-Backed Securities and the Financial Crisis of 2008: A Post Mortem. " Becker-Friedman Institute at UChicago, 2018. Wirz, M. " Assured Guaranty and Sound Point Join Up to Form CLO Powerhouse. " WSJ.com. Apr. 5, 2023.
27	04/25	Digital Currencies	Core Concepts	Berentsen, A. and F. Schär. " A Short Introduction to the World of Cryptocurrencies. " <i>Federal Reserve Bank of St. Louis Review</i> , 2018, 100(1), pp. 1-15. Buterin, V. " A next-generation smart contract and decentralized application platform. " White Paper (2014). Pp. 1; 4; 34. Juels, A., and E. Prasad. " Whither Crypto? " Project Syndicate. Nov. 15, 2023. Nakamoto, S. " Bitcoin: A Peer-to-Peer Electronic Cash System. " White Paper (2008). Perkins, D. " Cryptocurrency: The Economics of Money and Selected Policy Issues. " Congressional Research Service. Apr. 9, 2020. Pp. 1-19. " Why Bitcoin is up by almost 150% this year. " Economist.com. Dec. 18, 2023. OPTIONAL: Alston, E. " Constitutions and Blockchains: Competitive Governance of Fundamental Rule Sets. " <i>Case Western Journal of Law, Technology and the Internet</i> . 2020. Quiz due 10:30 am.

28	04/30	Digital Currencies	Current Topics	Asgari, N. and S. Chipolina. “Bitcoin’s Wall Street takeover frustrates crypto’s true believers.” FT.com. Jan. 12, 2024. Baughman, G., F. Carapella, J. Gerszten, and D. Mills. “The stable in stablecoins.” FEDS Notes. Dec. 16, 2022. Canovas del Castillo, J.R. “Evolution of Non-Fungible Tokens.” WEF. Oct. 2023. Pp. 4-10. Rogoff, K. “The Fed's Wary Embrace of Digital Dollars.” Project Syndicate. Feb. 1, 2022. Schär, F. “DeFi’s Promise and Pitfalls.” IMF.org. Sept. 2022. Yates, T. “Why central banks should not push ahead with CBDCs.” FT.com. Jan. 15, 2023.
30	05/02	Review	Synthesis and Review	Come with any topics or questions you wish to review for the final exam.
	TBD	Final Exam	TBD	Who doesn’t like a good final exam?

Required CU Syllabus Policy Statements

Classroom Behavior

Students and faculty are responsible for maintaining an appropriate learning environment in all instructional settings, whether in person, remote, or online. Failure to adhere to such behavioral standards may be subject to discipline. Professional courtesy and sensitivity are especially important with respect to individuals and topics dealing with race, color, national origin, sex, pregnancy, age, disability, creed, religion, sexual orientation, gender identity, gender expression, veteran status, political affiliation, or political philosophy.

For more information, see the [classroom behavior policy](#), the [Student Code of Conduct](#), and the [Office of Institutional Equity and Compliance](#).

Requirements for Infectious Disease

Members of the CU Boulder community and visitors to campus must follow university, department, and building health and safety requirements and all applicable campus policies and public health guidelines to reduce the risk of spreading infectious diseases. If public health conditions require, the university may also invoke related requirements for student conduct and disability accommodation that will apply to this class.

If you feel ill and think you might have COVID-19 or if you have tested positive for COVID-19, please stay home and follow the [guidance of the Centers for Disease Control and Prevention \(CDC\) for isolation and testing](#). If you have been in close contact with someone who has COVID-19 but do not have any symptoms and have not tested positive for COVID-19, you do not need to stay home but should follow the [guidance of the CDC for masking and testing](#).

Accommodation for Disabilities, Temporary Medical Conditions, and Medical Isolation

If you qualify for accommodations because of a disability, please submit your accommodation letter from Disability Services to your faculty member in a timely manner so that your needs can be addressed. Disability Services determines accommodations based on documented disabilities in the academic environment. Information on requesting accommodations is located on the [Disability Services website](#). Contact Disability Services at 303-492-8671 or dsinfo@colorado.edu for further assistance. If you have a temporary medical condition, see [Temporary Medical Conditions](#) on the Disability Services website.

If you have a required medical isolation for which you require adjustment, please contact your instructor as soon as you become aware of the need.

Preferred Student Names and Pronouns

CU Boulder recognizes that students' legal information doesn't always align with how they identify. Students may update their preferred names and pronouns via the student portal; those preferred names and pronouns are listed on instructors' class rosters. In the absence of such updates, the name that appears on the class roster is the student's legal name.

Honor Code

All students enrolled in a University of Colorado Boulder course are responsible for knowing and adhering to the [Honor Code](#). Violations of the Honor Code may include but are not limited to: plagiarism (including use of paper writing services or technology [such as essay bots]), cheating, fabrication, lying, bribery, threat, unauthorized access to academic materials, clicker fraud, submitting the same or similar work in more than one course without permission from all course instructors involved, and aiding academic dishonesty.

All incidents of academic misconduct will be reported to Student Conduct & Conflict Resolution: honor@colorado.edu, 303-492-5550. Students found responsible for violating the [Honor Code](#) will be assigned resolution outcomes from the Student Conduct & Conflict Resolution as well as be subject to academic sanctions from the faculty member. Visit [Honor Code](#) for more information on the academic integrity policy.

Sexual Misconduct, Discrimination, Harassment and/or Related Retaliation

CU Boulder is committed to fostering an inclusive and welcoming learning, working, and living environment. University policy prohibits [protected-class](#) discrimination and harassment, sexual misconduct (harassment, exploitation, and assault), intimate partner violence (dating or domestic violence), stalking, and related retaliation by or against members of our community on- and off-campus. These behaviors harm individuals and our community. The Office of Institutional Equity and Compliance (OIEC) addresses these concerns, and individuals who have been subjected to misconduct can contact OIEC at 303-492-2127 or email cureport@colorado.edu. Information about university policies, [reporting options](#), and [support resources](#) can be found on the [OIEC website](#).

Please know that faculty and graduate instructors must inform OIEC when they are made aware of incidents related to these policies regardless of when or where something occurred. This is to ensure that individuals impacted receive

outreach from OIEC about resolution options and support resources. To learn more about reporting and support for a variety of concerns, visit the [Don't Ignore It](#) page.

Religious Accommodations

Campus policy requires faculty to provide reasonable accommodations for students who, because of religious obligations, have conflicts with scheduled exams, assignments or required attendance. Please communicate the need for a religious accommodation in a timely manner. In this class, please notify your instructor at the beginning of the semester of any religious accommodations that you anticipate.

See the [campus policy regarding religious observances](#) for full details.

Mental Health and Wellness

The University of Colorado Boulder is committed to the well-being of all students. If you are struggling with personal stressors, mental health or substance use concerns that are impacting academic or daily life, please contact [Counseling and Psychiatric Services \(CAPS\)](#) located in C4C or call (303) 492-2277, 24/7.

Free and unlimited telehealth is also available through [Academic Live Care](#). The [Academic Live Care](#) site also provides information about additional wellness services on campus that are available to students.